

# WEEKLY TRADING PERFORMANCE REPORT

|                     |                                                               |
|---------------------|---------------------------------------------------------------|
| Analysis Period:    | March 7-13, 2026 (Week 6)                                     |
| Report Generated:   | March 13, 2026 (Revised)                                      |
| Trader:             | James                                                         |
| Strategies:         | Cash-Secured Puts   Long Calls   Covered Call (error)         |
| Market Environment: | Continued Iran tensions / Stagflation fears / Earnings season |
| Account Net Liq:    | \$43,683   Available: \$23,827   Buying Power: \$23,827       |

## EXECUTIVE SUMMARY

**Overall Performance:** -\$640 net P&L; across 5 completed trades (40% win rate). A quiet week by trade count but significant for the lessons learned. Two major framework refinements emerged: the ADBE margin call exposed a gap in the stop system (premium stops fail on deep ITM options), and the MU entry timing issue highlighted the cost of missed fills near the closing bell.

**Key Findings:**

- ADBE margin call: Stock dropped deep ITM, premium stop didn't trigger, forced close at -\$1,120. New dual stop system required.
- MU entry timing: Limit order didn't fill pre-earnings, overnight IV crush halved available premium. New limit-to-market escalation process needed.
- MU execution: Despite the late entry, still captured +\$405 (51.6% premium) via the 50% profit limit — the system works even on a sub-optimal entry.
- Two mechanical errors: MU OCO glitch (-\$5) and PINS wrong-direction order (-\$20) — minor platform learning tax.
- Three strong open positions: GWRE (+\$248), GLW (+\$854), LUNR (-\$68) carrying into next week.

**Strategic Assessment:** Two distinct lessons this week, both about execution rather than strategy selection. The CSP strategy continues to identify good setups (MU, ADBE were both sound entries). The failures were in execution mechanics: missing the fill on MU cost ~50% of potential premium, and the ADBE stop framework had a blind spot for deep ITM scenarios. Both now have fixes. This is week 10 of trading — the strategy is settled, the refinement is in the plumbing.

## WEEKLY P&L; SUMMARY

| Strategy                       | Trades | Wins | Losses | Win Rate | Net P&L |
|--------------------------------|--------|------|--------|----------|---------|
| Cash-Secured Puts              | 3      | 2    | 1      | 66.7%    | -\$615  |
| Error Trades (MU put, PINS CC) | 2      | 0    | 2      | —        | -\$25   |
| TOTAL COMPLETED                | 5      | 2    | 3      | 40%      | -\$640  |

## CUMULATIVE PERFORMANCE (Feb 9 - Mar 13, 2026)

| Metric   | Wk 1     | Wk 2      | Wk 3     | Wk 4     | Cumulative |
|----------|----------|-----------|----------|----------|------------|
| Period   | Feb 9-19 | Feb 20-27 | Mar 2-6  | Mar 7-13 | 6 weeks    |
| Trades   | 10       | 10        | 8        | 5        | 33         |
| Win Rate | 80%      | 60%       | 37.5%    | 40%      | 54.5%      |
| CSP P&L  | +\$1,758 | -\$179    | +\$1,949 | -\$615   | +\$2,913   |

| Metric    | Wk 1     | Wk 2   | Wk 3     | Wk 4   | Cumulative |
|-----------|----------|--------|----------|--------|------------|
| Other P&L | \$0      | +\$614 | -\$5,097 | -\$25  | -\$4,508   |
| Total P&L | +\$1,758 | +\$435 | -\$3,148 | -\$640 | -\$1,595   |

**Cumulative: -\$1,595.** CSP-only remains positive at +\$2,913. The overall deficit is entirely attributable to experimental multi-leg trades (-\$4,508). The MU entry timing issue means the CSP figure is also understated — with a same-day fill, MU alone would have contributed an additional ~\$400-800.

## INDIVIDUAL TRADE DETAILS

| #  | Ticker      | Type        | Entry | Exit  | Cts | Sell/Buy\$    | P&L      | Notes                 |
|----|-------------|-------------|-------|-------|-----|---------------|----------|-----------------------|
| 42 | S \$12.50P  | CSP         | 06/03 | 09/03 | 10  | \$0.28/\$0.18 | +\$100   | Clean win             |
| 43 | ADBE \$260P | CSP         | 09/03 | 13/03 | 4   | \$4.05/\$6.85 | -\$1,120 | Margin call           |
| 44 | MU \$360P   | CSP         | 10/03 | 13/03 | 1   | \$7.85/\$3.80 | +\$405   | Textbook (late entry) |
| 45 | PINS \$21C  | CC (error)  | 13/03 | 13/03 | 10  | \$0.32/\$0.34 | -\$20    | Wrong direction       |
| 50 | MU \$360P   | Put (error) | 13/03 | 13/03 | 1   | \$3.80/\$3.75 | -\$5     | OCO glitch            |

## MU: THE ENTRY TIMING LESSON

### What Happened:

MU was identified as a strong CSP earnings play. The original plan was to sell puts before MU earnings to capture the IV crush. A limit order was placed, but the market didn't fill it. The limit was adjusted downward twice — still no fill. The market closed. Overnight, IV crushed as expected, and the premium that was likely \$15+ before earnings opened the next day at \$7.85. The trade was entered at that point, capturing a +\$405 profit — but the missed fill cost approximately \$700-800 in forgone premium.

### The Fix — Limit-to-Market Escalation:

| Time                 | Action                                | Rationale                                            |
|----------------------|---------------------------------------|------------------------------------------------------|
| Entry                | Place limit order at mid price        | Best execution, fair value                           |
| After 30-60 mins     | Adjust limit toward natural side once | Compete for the fill                                 |
| 15 mins before close | Assess: Is conviction still high?     | Decision point                                       |
| If yes + unfilled    | Switch to market order                | Capturing the trade matters more than the fill price |
| If no                | Cancel and reassess next day          | Don't force a trade you're unsure about              |

This process applies specifically to earnings IV-crush plays where the overnight event will fundamentally change the premium available. On a standard CSP where the setup will still exist tomorrow, there's no urgency — let the limit work. But when the window closes at the bell, a market order with \$0.20 slippage at \$15 is vastly better than a limit fill at \$7.85 the next morning.

### Despite the Late Entry:

MU still delivered +\$405 via the 50% profit limit. Conservative sizing (1 contract on a \$360 stock), automatic profit-taking, clean 3-day hold. The system works — the entry execution needs to match the strategy's time sensitivity. This is now documented as a process rule.

## ADBE: MARGIN CALL & FRAMEWORK GAP

| Detail          | Value                                                         |
|-----------------|---------------------------------------------------------------|
| Position        | Short 4x ADBE 13MAR \$260 Put                                 |
| Entry           | 09/03 @ \$4.05 (\$1,620 credit)                               |
| ADBE at Entry   | ~\$260+ (near the money)                                      |
| ADBE at Close   | \$254.03 (deep ITM)                                           |
| Close           | 13/03 @ \$6.85 (\$2,740 cost) — forced by margin call         |
| P&L             | -\$1,120                                                      |
| 100% Stop Level | \$8.10 (2x premium) — DID NOT TRIGGER                         |
| Why Stop Failed | Put went deep ITM, delta ~1.0, premium tracked stock linearly |

### Why the Premium Stop Failed:

When a put goes deep in-the-money, its delta approaches -1.0, meaning it moves dollar-for-dollar with the stock. At that point, the option price increases roughly linearly as the stock drops rather than showing the percentage premium expansion your stop monitors. The put went from \$4.05 to \$6.85 (69% increase) — below the 100% stop trigger at \$8.10. But the margin requirement expanded because the deep ITM position required more collateral, forcing a close before the premium stop could fire.

### The Fix — Dual Stop System:

1. Primary: OCO on option premium (50% profit limit / 100% stop loss) — unchanged
2. Secondary: Stop on underlying stock price at (strike – premium received). For ADBE: \$260 – \$4.05 = close if ADBE drops below \$255.95
3. Alerts: 25/50/75% on option premium for manual review — unchanged
4. Margin buffer: Verify 20% buying power reserve before opening any new CSP

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## EARNINGS TRADING FRAMEWORK (Revised)

Selling premium around earnings is the core edge of the CSP strategy. The original blanket rule (no trades within 10 days of earnings) was too blunt and would have prevented the strategy's best trades. The refined framework preserves the earnings edge while managing the specific risks.

### Pre-Earnings CSPs (Selling Before the Announcement)

This is the primary strategy: sell puts when IV is elevated before earnings, then capture the IV crush after the announcement. The rule is simple: close before the earnings release. Don't hold through the event. Take the IV compression profit and move on. MU was this trade — the only issue was the entry timing, not the strategy.

### Holding Through Earnings (Exception, Not Default)

If holding a CSP through an earnings announcement, apply the following protocol:

| Step | Action                       | Detail                                                                   |
|------|------------------------------|--------------------------------------------------------------------------|
| 1    | Only on large OTM positions  | Strike must be well below current price with significant cushion         |
| 2    | Re-check the underlying      | Review analyst expectations, whisper numbers, recent guidance            |
| 3    | Tighten position stops       | Move premium stop from 100% to 75%; add underlying price stop at strike  |
| 4    | Check margin reserves        | Verify 20%+ buying power buffer after accounting for potential expansion |
| 5    | Run full pre-trade checklist | Treat it as a new trade decision, not a passive hold                     |

| Step | Action                             | Detail                                                     |
|------|------------------------------------|------------------------------------------------------------|
| 6    | Ask: Would I enter this trade now? | If the answer is no, close before earnings. No exceptions. |

**The Key Principle:** Selling into earnings IV is the edge. Holding through earnings is the risk. The default is to close before the announcement and bank the IV crush. Holding through is permitted only when the position has been re-validated through the full checklist and you can honestly answer yes to the question: would I open this trade right now, knowing earnings are tonight?

## ERROR TRADES LOG

| Error          | What Happened                                                  | Cost  | Prevention                    |
|----------------|----------------------------------------------------------------|-------|-------------------------------|
| MU OCO Glitch  | Stop leg active after limit filled, bought accidental long put | \$5   | Verify OCO cancel after fill  |
| PINS Direction | Sold calls when intended to buy calls                          | -\$20 | Check Buy/Sell before confirm |

Total error cost: -\$25. Recognised and closed immediately in both cases.

## OPEN POSITIONS AS OF MARCH 13

| Position            | Dir   | Cts | Entry   | Mark     | P/L Open  | Expiry         |
|---------------------|-------|-----|---------|----------|-----------|----------------|
| GWRE 20MAR \$150P   | Short | 4   | \$2.52  | \$1.90   | +\$248    | 20 Mar         |
| GLW 13MAR \$126P    | Short | 4   | \$2.30  | \$0.165  | +\$854    | 13 Mar (today) |
| LUNR 20MAR \$16P    | Short | 4   | \$0.66  | \$0.83   | -\$68     | 20 Mar         |
| PINS 17APR \$21C    | Long  | 10  | \$0.32  | \$0.33   | +\$10     | 17 Apr         |
| GOOGL (3 positions) | Long  | 40  | Various | \$302.13 | -\$63,300 | Mar-Apr        |

### Position Notes:

**GLW:** Expiring today. Mark \$0.165 with +\$854 P&L.; GLW at \$129.65 vs \$126 strike — should expire worthless for near-full premium capture.

**GWRE:** +\$248 unrealised. 7 days to expiry, GWRE at \$159.15 vs \$150 strike — healthy cushion.

**LUNR:** -\$68 unrealised. LUNR at \$17.68 vs \$16 strike — OTM but monitor closely.

**GOOGL:** -\$63,300 unrealised. Mar 20 positions effectively zero (7 days, needs 12-16% move). Apr 17 \$350 calls have 35 days but need 16% move. Decision point on Mar positions approaching.

## RISK FRAMEWORK EVOLUTION (Updated)

| Layer             | Rule                                                                | Status                                 |
|-------------------|---------------------------------------------------------------------|----------------------------------------|
| Profit Target     | 50% limit buy-to-close (GTC)                                        | Working (MU, FDS, SRAD)                |
| Premium Stop      | 100% stop buy-to-close (GTC)                                        | Working (AVAV) / Gap found (ADBE)      |
| Underlying Stop   | Close if stock < (strike – premium)                                 | NEW — addresses ADBE gap               |
| Alerts            | 25/50/75% premium alerts for manual review                          | Working (KRMN exit)                    |
| Margin Buffer     | 20% buying power reserve before new positions                       | NEW — addresses ADBE margin call       |
| Entry Execution   | Limit orders only; escalate to market near close on earnings played | UPDATED — addresses MU timing          |
| Earnings Protocol | Close CSPs before earnings; hold-through requires full review       | UPDATED — replaces blanket 10-day rule |
| Commission Filter | Commission < 2% of premium collected                                | In practice                            |

Eight rules, each traceable to a specific trade. Two updated this week (entry execution, earnings protocol) and two added (underlying stop, margin buffer). The framework is built from live experience, not theory.

## LESSONS LEARNED

### WHAT WORKED

- ✓ MU profit limit: 50% target fired automatically, +\$405 with zero screen time required
- ✓ S carry: +\$100 from prior week position, patience rewarded
- ✓ Error recognition: Both PINS and MU errors caught and closed within minutes
- ✓ Reduced activity: 5 trades in uncertain market — selectivity over volume
- ✓ Open positions: GWRE +\$248, GLW +\$854 set up a positive carry into next week

### WHAT NEEDS IMPROVEMENT

- **1. Entry Timing on Earnings Plays:** The MU limit order didn't fill before close, costing ~50% of available premium overnight. New process: limit at mid, adjust once after 30-60 mins, switch to market within 15 minutes of close if conviction is high and the earnings window is closing.
- **2. Deep ITM Stop Gap:** ADBE premium stop didn't trigger because the put was tracking the stock linearly rather than showing percentage expansion. Add underlying price stop at (strike – premium).
- **3. Margin Awareness:** ADBE triggered a margin call. Before opening new CSPs, verify 20%+ buying power remains after the new position.
- **4. OCO Verification:** After any limit fill, manually confirm the stop leg cancelled. Build this into the post-fill routine alongside logging the fill price in the journal.

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## WEEKLY PERFORMANCE TRACKER

| Wk | Period    | Trades | Win % | CSP P&L  | Other    | Total    | Cumulative |
|----|-----------|--------|-------|----------|----------|----------|------------|
| 1  | Feb 9-19  | 10     | 80%   | +\$1,758 | \$0      | +\$1,758 | +\$1,758   |
| 2  | Feb 20-27 | 10     | 60%   | -\$179   | +\$614   | +\$435   | +\$2,193   |
| 3  | Mar 2-6   | 8      | 37.5% | +\$1,949 | -\$5,097 | -\$3,148 | -\$955     |
| 4  | Mar 7-13  | 5      | 40%   | -\$615   | -\$25    | -\$640   | -\$1,595   |
| 5  | Mar 14-20 | -      | -     | -        | -        | -        | -          |

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## CONCLUSION

**Performance Assessment:** -\$640 in a week with one genuine strategy loss (ADBE -\$1,120), one strong win (MU +\$405), one clean carry (S +\$100), and -\$25 in platform errors. The number understates the progress: two major framework refinements emerged that will prevent larger losses in future.

**The Two Lessons:** The MU entry timing issue and the ADBE stop gap are both about execution, not strategy. The CSP approach correctly identified both as strong setups. MU's thesis was proven right (IV crushed, premium decayed, +\$405). ADBE's thesis was wrong (stock dropped through the strike), but the stop should have limited the loss — it didn't because of the deep ITM blind spot. Both gaps are now closed with process changes.

**Looking Forward:** GLW (+\$854) should close out for a strong start to next week. GWRE (+\$248) has 7 days of runway. The earnings framework is now properly documented: sell into IV, close before the announcement, hold through only after full re-validation. That's your edge — now it has guardrails.

**Next Report: Friday, March 20, 2026**